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Canada Bread Reports Results for Fourth Quarter and Fiscal 2008

Toronto, Ontario – February 24, 2009… Canada Bread Company, Limited (TSX: CBY) today reported its financial results for the fourth quarter and year ended December 31, 2008.

- Adjusted Operating Earnings increased 7.8% compared to the prior year fourth quarter and Adjusted Operating Earnings per Share increased by 28% to $1.13
- Net earnings per share of $1.04 compared to $0.93 last year
- Margins were partially restored in the fourth quarter due to earlier price increases and lower wheat costs, although Adjusted Operating Earnings for the year declined 24.6%

Note: All earnings measures are defined as earnings from operations before restructuring and other related costs and other income. All earnings per share measures are defined as earnings per share before restructuring and other related costs and other income.

"Despite a challenging first half of 2008, we ended the year with a return to stability and improved earnings," said Richard Lan, President and CEO. "The recent decline in commodity prices, combined with price increases helped to restore margins in the fourth quarter. Across our businesses, we remain focused on building volume through a steadfast commitment to our customers, innovation and new category expansion."

Financial Overview

Sales for the fourth quarter increased by 13.1% to $445.0 million compared to the same period last year, while sales for the year increased by 12.9% to $1.7 billion, reflecting higher selling prices and contributions from acquisitions. Excluding acquisitions, sales increased by 8.8% in the fourth quarter compared to last year and by 8.9% for the year.

For the fourth quarter, earnings from operations before restructuring and other related costs ("Adjusted Operating Earnings") increased by 7.8% to $33.8 million compared to $31.4 million last year, while Adjusted Operating Earnings for the year declined by 24.6% to $97.6 million from $129.5 million last year. Net earnings before restructuring and other related costs for the quarter increased 28.1% to $28.7 million ($1.13 per share), compared to $22.4 million ($0.88 per share) last year. Net earnings before restructuring and other related costs for the year declined 13.1% to $73.1 million ($2.87 per share), compared to $84.2 million ($3.31 per share) last year.

The following is a summary of Adjusted Earnings per Share (EPS) defined as EPS before restructuring and other related costs and certain non-recurring tax adjustments.

	Fourth quarter		Full year	
Per share	**2008**	2007	**2008**	2007
EPS	**$1.04**	$0.93	**$2.55**	$3.30
Restructuring and other related costs	$0.09	$0.07	$0.32	$0.12
Tax benefit from lower future tax rates(i)		($0.11)		($0.11)
Adjusted EPS (ii)	**$1.13**	$0.88	**$2.87**	$3.31

(i) During the fourth quarter of 2007, the Company recorded an unusually large net tax benefit of $2.8 million related to the enactment of lower future tax rates

(ii) This table does not add due to rounding

Business Segment Review

Following is a summary of Adjusted Operating Earnings by business segment:

	Fourth quarter			Full year		
($ millions)	**2008**	2007	Change	**2008**	2007	Change
Fresh Bakery	**$25.4**	$15.7	62.0%	**$76.5**	$88.4	(13.4%)
Frozen Bakery	**$8.4**	$15.7	(46.3%)	**$21.1**	$41.1	(48.6%)
	$33.8	$31.4	7.8%	**$97.6**	$129.5	(24.6%)

Fresh Bakery *(Fresh bakery products, specialty baked goods and hand-held snacks, and fresh pasta and sauces)*

Fresh Bakery sales for the fourth quarter increased 16.8% to $279.1million compared to $239.0 million last year, largely due to the benefit of price increases implemented during the year and contributions from acquisitions. North American bakery volumes remained consistent with the fourth quarter last year. Sales for 2008 increased 15.7% to $1.1 billion compared to $945.9 million last year.

Adjusted Operating Earnings for the fourth quarter increased to $25.4 million compared to $15.7 million last year, while Adjusted Operating Earnings for the year

declined to $76.5 million compared to $88.4 million for 2007, reflecting the significant impact of high commodity prices earlier in 2008. The combined impacts of price increases implemented in December 2007 and March 2008 and declining wheat prices contributed to margin improvement in the fourth quarter, but did not cover losses experienced earlier in the year. While commodity prices declined in the fourth quarter of 2008, the concurrent strengthening of the U.S. dollar partially reduced the benefit of lower commodity wheat prices in the Canadian fresh bakery business, impacting margin recovery.

Frozen Bakery *(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)*

Frozen Bakery sales for the fourth quarter increased 7.5% to $165.8 million compared to $154.3 million last year, largely due to the benefit of price increases implemented during the year and mix improvements. Sales for the year increased 8.3% to $614.1 million compared to $567.3 million last year.

Adjusted Operating Earnings for the fourth quarter declined to $8.4 million compared to $15.7 million last year and declined 48.6% from $41.1 million in 2007 to $21.1 million for the year. This reflects the significant impact of high commodity prices earlier in 2008 and higher production costs. While North American frozen bakery operations benefited from mix improvements, higher utility, maintenance costs and production inefficiencies due to the transfer of production from the Toronto Bagel Plant to other regional plants impacted their earnings during the quarter. The U.K. bakery operations experienced higher production costs due to a new bagel oven commissioned at the Rotherham plant to replace an oven destroyed by fire earlier in the year. These start-up costs, as well as business interruption losses throughout the year, were partially offset by an $8.3 million insurance payment in the fourth quarter that is recorded in other income. In addition, the U.K. business was further impacted by a weak economy which resulted in decreased sales volumes of its premium specialty bakery products. To further integrate acquisitions and improve capacity utilization, two sub-scale bakery plants were closed and production moved to other plants.

Other Income: The Company recorded other income for the fourth quarter of $8.3 million, compared to $0.1 million in 2007 due to insurance proceeds received to cover business interruption losses resulting from an oven fire that occurred at the Company's bagel plant in Rotherham, United Kingdom earlier in the year. During the year, the Company received $14.7 million in insurance payments related to this fire.

Other Matters

On February 23, 2009, Canada Bread Company, Limited declared a dividend of $0.06 per share payable on April 1, 2009 to shareholders of record on March 10, 2009. Unless indicated otherwise, by the Company, in writing at or before the time the dividend is paid, each dividend paid by the corporation in 2009 or a subsequent

year is an eligible dividend for the purposes of the “Enhanced Dividend Tax Credit System.”

Forward-Looking Statements

This document contains, and the Company’s oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to our objectives and goals, as well as statements with respect to our beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Words such as “expect,” “anticipate,” “intend,” “attempt,” “may,” “will,” “plan,” “believe,” “seek,” “estimate,” and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, the specific forward looking statements contained in this document are based on a variety of factors and assumptions including, but not limited to expectations concerning performance of the Company’s business in general is based on a number of factors and assumptions including, but not limited to: the condition of the Canadian and United States economies; the rate of exchange of the Canadian dollar to the U.S. dollar; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified under “Risk Factors” in the Company’s Management Discussion and Analysis will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party industry sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward looking statements, which reflect the Company’s expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed or implied by forward-looking statements are discussed more fully in the Company’s Management Discussion and Analysis including in the section entitled “Risk Factors” that will be available on SEDAR at www.sedar.com.

The Company does not intend, and the Company disclaims any obligation to update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Canada Bread Company Limited, which is 89.8% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2008 sales of $1.7 billion and employs approximately 8,500 people at its operations across North America and in the United Kingdom.